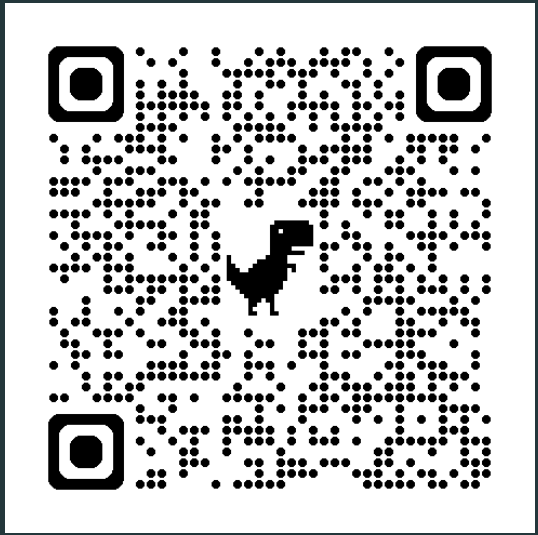
US Economic Statecraft, Asian Economic Diplomacy: Geoeconomic Theory and Empirics

Danny Quah

Sat 31 Oct 2026

Lee Kuan Yew School of Public Policy, NUS

(Follow along on your personal device)



Conclusion

1. Economic statecraft, economic diplomacy
   - Acquiesce. Adapt. Aggregate. Resist. 3A+
2. Analytical model
   - 3A+; Resilience; Economic Security
3. Empirics
   - Strategic differentiation
   - Dynamic complementarity
   - Great Power elasticity

Third Nations have choices. Their choices evolve.

Great Powers do not get the last word.

ECONOMIC STATECRAFT, ECONOMIC DIPLOMACY

US industrial policy, Asian economic diplomacy

2022 Inflation Reduction Act

US subsidies, EV tax credits, North American final-assembly requirements, and critical-minerals sourcing conditions.

1. **South Korea aggregated:** Coordinated with Japan and the EU to contest discriminatory US industrial-policy provisions.
2. **South Korea resisted:** Parliamentary resolutions, ministerial and presidential representations, and KORUS and WTO legal arguments.
3. **South Korea sought accommodation:** Section 45W commercial-vehicle tax-credit treatment provided a route for leased Korean EVs. Indonesia separately petitioned for access to IRA-related critical-minerals benefits.
4. **Australia adapted:** Expanded domestic critical-minerals financing by A$2 billion in October 2023, doubling the facility to A$4 billion.

Beyond alignment and hedging

Acquiesce. Adapt. Aggregate. Resist.

3A+

Acquiesce Concede on a specific axis of Great-Power contention.

Adapt Restructure domestically to reduce vulnerability.

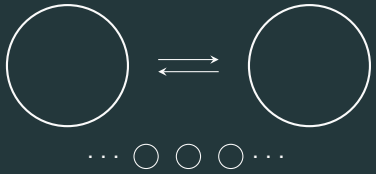
Aggregate Build external options through cooperation with other nations.

Resist Contest the Great Power's action, demand, or authority.

Economic diplomacy is not simply choosing a side.

ANALYTICAL MODEL

Thucydides and Third Nation agency



$$GP = \{0, 1\}$$

$$TN = \{\ldots, -1, 0, 1, \ldots\}$$

Figure 1: Great Powers and Third Nations. "Great Powers do what they will. The rest of us suffer what we must." (Thucydides 400BCE, *The Peloponnesian War*)

1. Economic statecraft is what members of GP do, a "means of working the US's geopolitical will in the world" (Blackwill and Harris, 2016; CMS, BGH, MRS, CMO).
2. Economic diplomacy is what, without rules-based multilateralism, members of TN need to do
3. Inversion: Switched dependent variable, equilibrium concept, mechanism, normative perspective.

Model

$$\gamma W(K, Z) = \sup_{\pi} \left\{ p(\mu \times \pi) - c(\pi) + W_d \dot{K}_d + W_g \dot{K}_g + W_Z \dot{Z} \right\}$$
$$W_d = \frac{\partial W}{\partial K_d}, \; W_g = \frac{\partial W}{\partial K_g}, \; W_Z = \frac{\partial W}{\partial Z}. \tag{1}$$

$$\gamma S(K, Z) = \sup_{\sigma} \left\{ y(K, \alpha_q, \xi) - f(K, \alpha_q, \alpha_d, \alpha_g, \xi; \pi) + S_d \dot{K}_d + S_g \dot{K}_g + S_Z \dot{Z} \right\}$$
$$S_d = \frac{\partial S}{\partial K_d}, \; S_g = \frac{\partial S}{\partial K_g}, \; S_Z = \frac{\partial S}{\partial Z}. \tag{2}$$

Model: choices today, resilience tomorrow

Interior first-order conditions

$$\mu p' + (1-\mu)W_Z = c'$$
$$y_q - f_q = S_Z \pi \mu_q$$
$$-f_d + S_d = 0$$
$$-f_g + S_g = 0$$
$$y_\xi - f_\xi = S_Z \pi \mu_\xi$$

1. Acquiesce or resist today. Build resilience for tomorrow.
2. Acquiescence and Resistance: immediate effect on unresolved coercion.
3. Adaptation and Aggregation: accumulate domestic and external resilience.

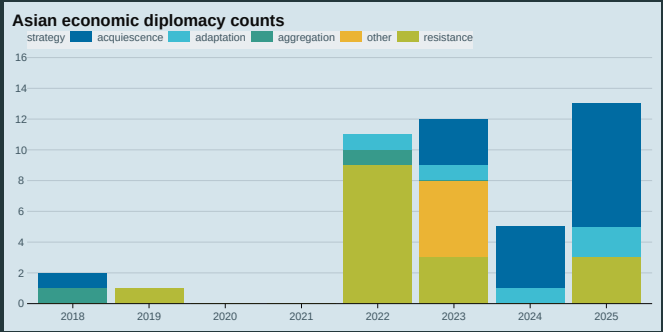
EMPIRICAL FINDINGS

Strategic differentiation

Strategic repertoire

Strategy	Events	Share (%)
Acquiescence	16	37.2
Adaptation	5	11.6
Aggregation	2	4.7
Resistance	16	37.2
OTHER	5	11.6

43 recorded responses. Strategies are non-exclusive.



1. 3A+ accounts for most of the observed responses; the mix changes over time.
2. US triggers not confined to Trump.
3. Predominance of acquiescence and resistance in equal measure.
4. Resist Biden/industrial policy. Acquiesce Trump/tariff policy.

Same US pressure. Different Asian diplomacy.

2025 Liberation Day tariffs

Singapore / Australia

Object. Do not retaliate.

Vietnam / Indonesia / Philippines

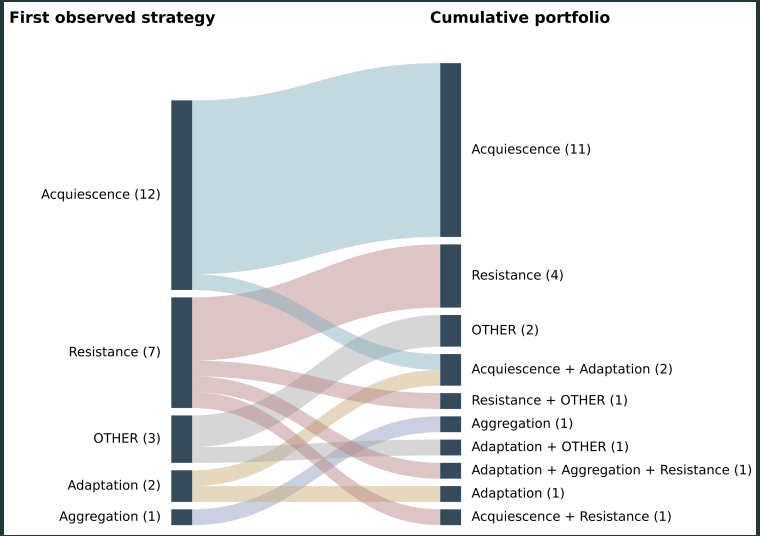
Acquiesce.

Japan

Adapt. Then accommodate.

Same GP trigger. Different TN strategic responses.

Dynamic complementarity



25 country–trigger episodes: initial choices $\neq$ final portfolios.

Great Power elasticity

Responses by primary US instrument

Instrument	Events	Acq.	Adp.	Agg.	Res.	Other
Industrial policy	19	0	2	1	12	5
Technology controls	8	6	2	0	0	0
Trade policy	16	10	1	1	4	0
Financial sanctions	0	0	0	0	0	0

- Industrial policy: mainly Resistance. Trade policy: mainly Acquiescence.
- Financial sanctions draw private institutional responses.

Vietnam and US tariffs, 2025

Apr 2025		**2025 negotiations**		**Aug 2025**
US	$\longrightarrow$	Vietnam	$\longrightarrow$	US
Liberation Day tariffs		Concessions; negotiations		Additional transshipment tariff measures

Concession $\neq$ end of coercion.

Conclusion

Conclusion

1. Economic statecraft, economic diplomacy
   - Acquiesce. Adapt. Aggregate. Resist. 3A+
2. Analytical model
   - 3A+; Resilience; Economic Security
3. Empirics
   - Strategic differentiation
   - Dynamic complementarity
   - Great Power elasticity

Third Nations have choices. Their choices evolve.

Great Powers do not get the last word.

US Economic Statecraft, Asian Economic Diplomacy: Geoeconomic Theory and Empirics

Danny Quah

Sat 31 Oct 2026

Lee Kuan Yew School of Public Policy, NUS